

much stuff we are building but in terms of how much validated learning we're getting for our efforts.⁴

For example, in one early experiment, we changed our entire website, home page, and product registration flow to replace "avatar chat" with "3D instant messaging." New customers were split automatically between these two versions of the site; half saw one, and half saw the other. We were able to measure the difference in behavior between the two groups. Not only were the people in the experimental group more likely to sign up for the product, they were more likely to become long-term paying customers.

We had plenty of failed experiments too. During one period in which we believed that customers weren't using the product because they didn't understand its many benefits, we went so far as to pay customer service agents to act as virtual tour guides for new customers. Unfortunately, customers who got that VIP treatment were no more likely to become active or paying customers.

Even after ditching the IM add-on strategy, it still took months to understand why it hadn't worked. After our pivot and many failed experiments, we finally figured out this insight: customers wanted to use IMVU to make new friends online. Our customers intuitively grasped something that we were slow to realize. All the existing social products online were centered on customers' real-life identity. IMVU's avatar technology, however, was uniquely well suited to help people get to know each other online without compromising safety or opening themselves up to identity theft. Once we formed this hypothesis, our experiments became much more likely to produce positive results. Whenever we would change the product to make it easier for people to find and keep new friends, we discovered that customers were more likely to engage. This is true startup productivity: systematically figuring out the right things to build.

These were just a few experiments among hundreds that we ran week in and week out as we started to learn which customers would use the product and why. Each bit of knowledge we